


# Ania's Coffee Cart

An illustrated guide to the basic accounting conventions,
or how to remember what you read, hear and practise when you study accounting

Ania opens a coffee cart and runs it for one month. One small business, 13 accounting entries: from everyday transactions to month-end adjustments, and where each one lands on the balance sheet, income statement and cash flow statement.

How can a business make 2,075 zł in profit
and end the month with 10,200 zł in cash?

## Contents


| | | | |
|---|---|---|---|
| 12 accounting ideas | 2 | Debit & credit | 4 |
| The comics: 13 strips | 5 | Why profit isn't cash | 18 |
| Accounting cycle | 19 | Easy to mix up | 20 |
| The statements | 21 | About this guide | 22 |

**Jump to strip:** 1 2 3 4 5 6 7 8 9 10 11 12 13


Simplified educational example. VAT and income tax are excluded. Actual accounting requirements depend on the business structure and reporting framework.

# 12 accounting ideas to keep in mind

Not all of these are formal rules, but together they explain how the numbers are built. They answer four simple questions.

## 1 Whose money?



### Business entity

The business and the owner are separate. Keep their money apart.

see strip 1 →

## 2 When do we recognise it?




### Accruals

Profit is revenue earned minus expenses used up, not cash in minus cash out.

see strip 13 →



### Revenue recognition

Count revenue when you have earned it by delivering the goods or service.

see strip 7 →




### Matching

Put expenses in the same period as the revenue they helped earn.

see strip 6 →




### Reporting period

Chop the life of a business into months or years so you can report on each one.

see strip 11 →

# 12 accounting ideas, continued

## 3 How do we measure it?




### Historic cost

Record things at what you actually paid.

see strip 3 →



### Prudence

Use caution when estimates are uncertain. Don't deliberately overstate or understate the numbers.




### Materiality

Small amounts that would not change anyone's decision can be handled the simple way.




### Money measurement

Only things you can measure in money go in the books.

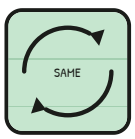
## 4 How do we keep the records meaningful?




### Dual aspect

Every transaction has two sides, so A = L + E always balances.

see strip 2 →




### Consistency

Apply accounting policies consistently unless there's a valid reason to change them, so periods can be compared.



### Going concern

Assume the business will continue operating rather than being liquidated.

see strip 12 →

# Debit & credit

**Debit and credit mean LEFT and RIGHT. Not money in and money out.**

Every entry has a left side (Dr) and a right side (Cr), and they must be equal. That is why A = L + E always balances.

**Dr**
**Debit = the left side**
Polish: Wn (Winien) · Russian: Дт (дебет)

**Cr**
**Credit = the right side**
Polish: Ma · Russian: Кт (кредит)

| ACCOUNT TYPE | GOES UP WITH | GOES DOWN WITH | ENDS UP ON |
|---|---|---|---|
| **Assets (cash, inventory, machine)** | Dr | Cr | Balance sheet |
| **Expenses (rent, wages)** | Dr | Cr | Income statement |
| **Liabilities (loan, unpaid bills)** | Cr | Dr | Balance sheet |
| **Equity (owner's capital)** | Cr | Dr | Balance sheet |
| **Revenue (sales)** | Cr | Dr | Income statement |

| | |
|---|---|
| `Dr Cash 10,000` | Cash is an asset. It goes up, so it is a debit. |
| `Cr Owner's capital 10,000` | Capital is equity. It goes up, so it is a credit. 10,000 = 10,000, so the entry balances. |

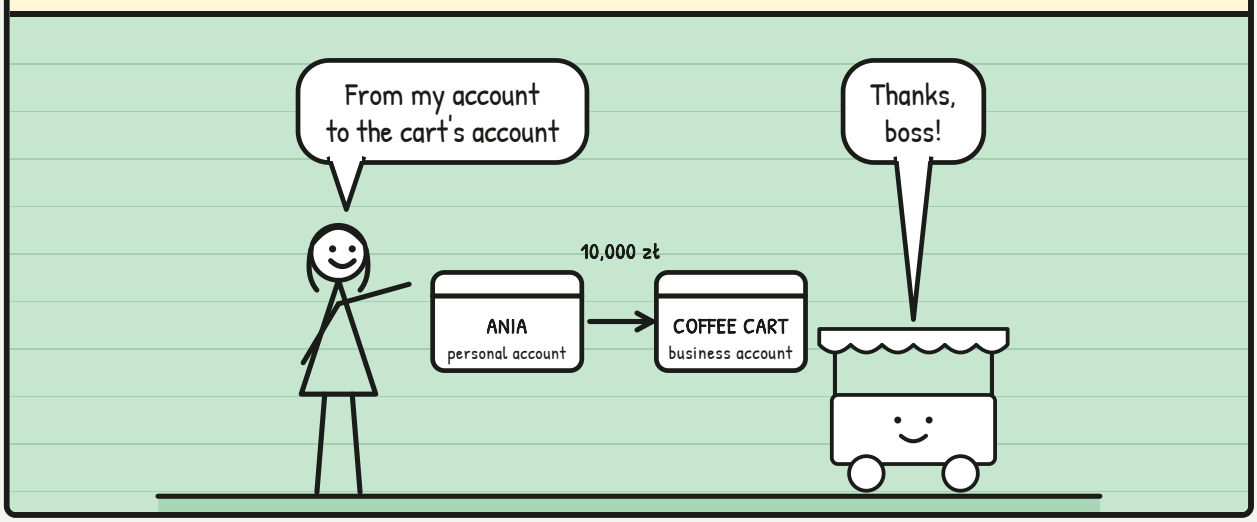
That is strip 1, read out loud. Statements never print “Dr” or “Cr”: each account's final balance simply becomes one line.

**Memory trick: DEALER** D E A grow with Dr L E R grow with Cr

# Opening the business account

**PRINCIPLE: BUSINESS ENTITY CONVENTION**

Day 1. Ania moves 10,000 zł of her own savings into a new bank account opened just for the cart.




Guess before reading below: does cash change, profit, both or neither?

### WHAT THE ACCOUNTANT WRITES

| | | |
|---|---|---|
| Dr | Cash | 10,000 |
| Cr | Owner's capital | 10,000 |

### WATCH OUT

Ania's groceries are not cart expenses. Mixing personal and business money breaks this rule.

### WHERE IT LANDS

**In short: cash changes, profit doesn't**

**BALANCE SHEET**

Cash +10,000 · Owner's capital +10,000

**INCOME STATEMENT**

no change

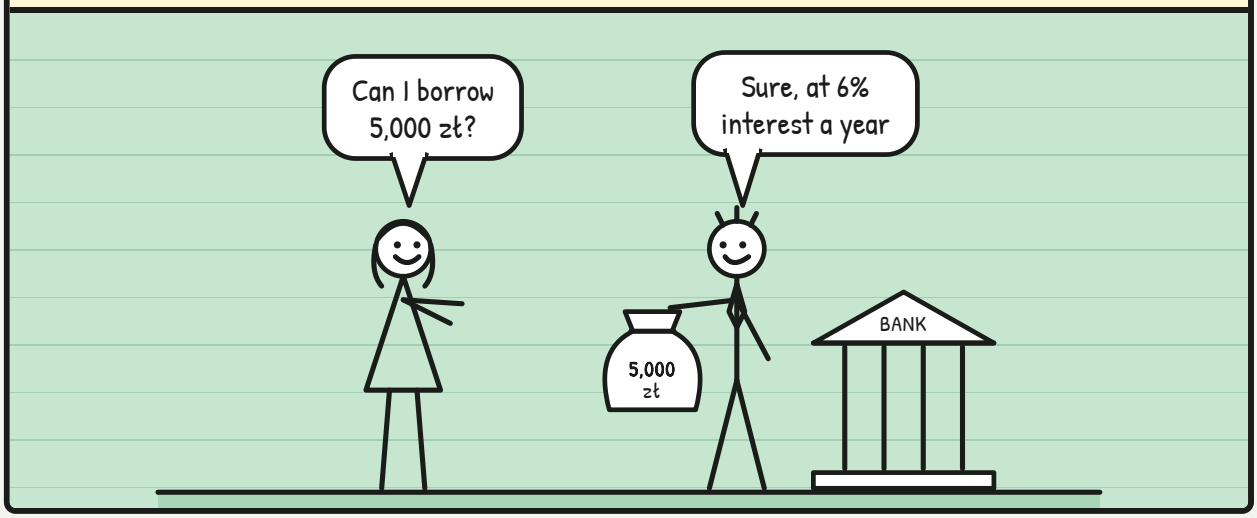
**CASH FLOW**

Financing activities — owner's investment: +10,000 zł

# Borrowing from the bank

**PRINCIPLE: DUAL ASPECT CONVENTION**

Day 2. Savings won't be enough, so Ania borrows 5,000 zł from the bank at 6% interest a year.




Guess before reading below: does cash change, profit, both or neither?

### WHAT THE ACCOUNTANT WRITES

| | |
|---|---|
| Dr Cash | 5,000 |
| Cr Bank loan | 5,000 |

### WATCH OUT

A loan is not income. Borrowed money must be paid back, so it is a liability, never revenue. And no interest is recorded today: interest builds up over time and is recorded at the end of each month (see strip 13).

### WHERE IT LANDS

**In short: cash changes, profit doesn't**

**BALANCE SHEET**

Cash +5,000 · Bank loan +5,000

**INCOME STATEMENT**

no change

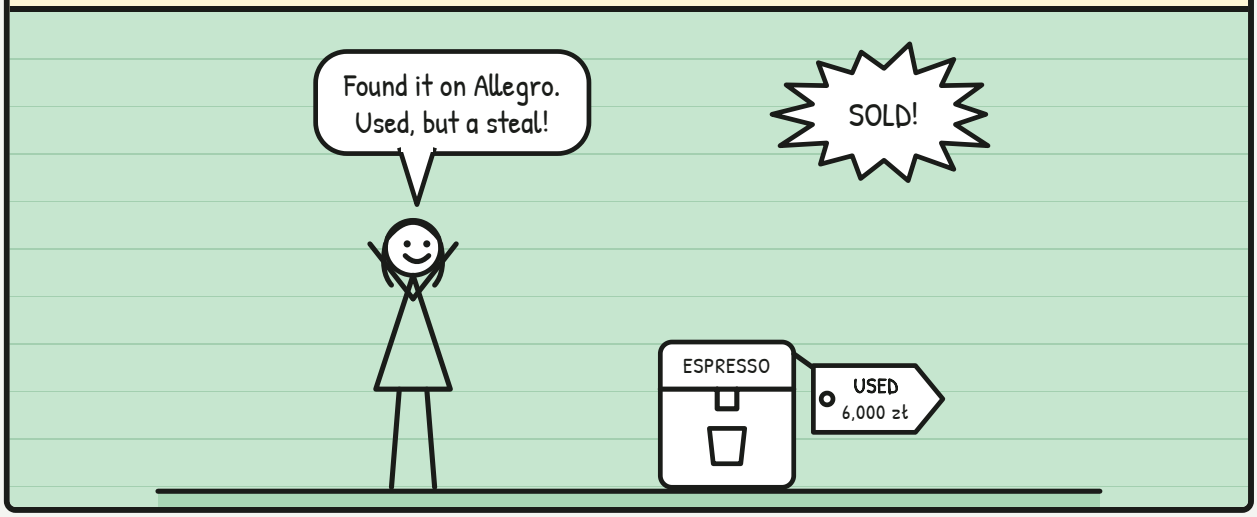
**CASH FLOW**

Financing activities — bank loan received: +5,000 zł

# Buying the espresso machine

PRINCIPLE: HISTORIC COST CONVENTION

Day 3. Ania finds a good second-hand espresso machine on Allegro and pays 6,000 zł from the cart's account.




Guess before reading below: does cash change, profit, both or neither?

### WHAT THE ACCOUNTANT WRITES

| | |
|---|---|
| Dr Equipment | 6,000 |
| Cr Cash | 6,000 |

### WATCH OUT

Don't record it at what you think it's worth ("it's a bargain, it's really worth 8,000"). Record what you paid.

### WHERE IT LANDS

**In short: cash changes, profit doesn't**

**BALANCE SHEET**

Cash −6,000 · Equipment (PPE) +6,000

**INCOME STATEMENT**

no change

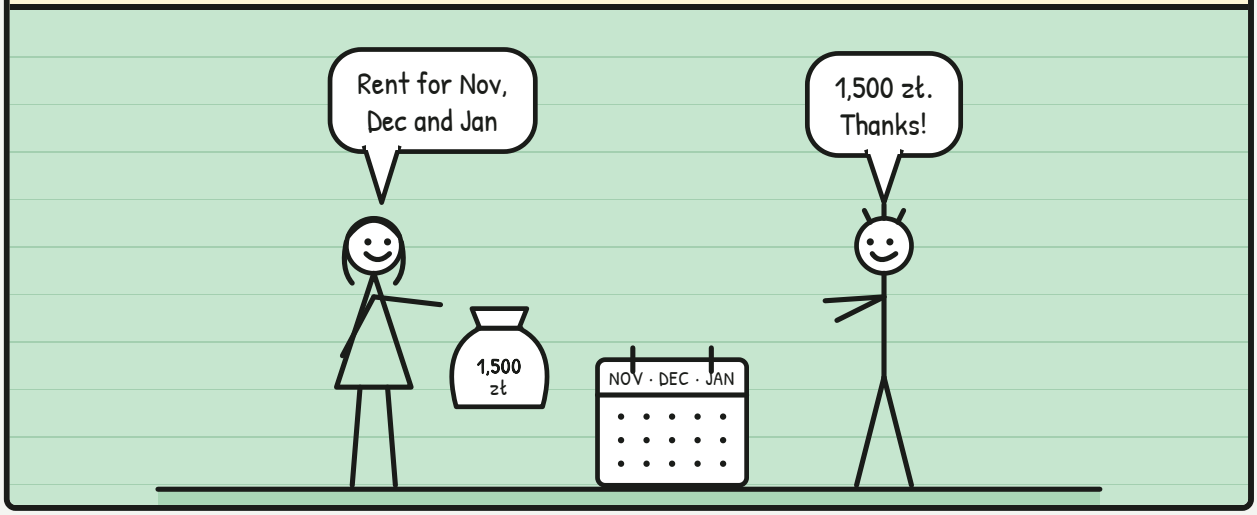
**CASH FLOW**

Investing activities — purchase of equipment: −6,000 zł

# Paying rent three months ahead

PRINCIPLE: ACCRUALS CONVENTION

Day 4. The landlord wants rent for November, December and January up front: 1,500 zł in total.




Guess before reading below: does cash change, profit, both or neither?

### WHAT THE ACCOUNTANT WRITES

| | | |
|---|---|---|
| Dr | Prepaid rent | 1,500 |
| Cr | Cash | 1,500 |

### WATCH OUT

Booking all 1,500 zł as November rent would make November look worse and January look better than they really are.

### WHERE IT LANDS

**In short: cash changes, profit doesn't**

**BALANCE SHEET**

Cash −1,500 · Prepaid rent +1,500

**INCOME STATEMENT**

no change

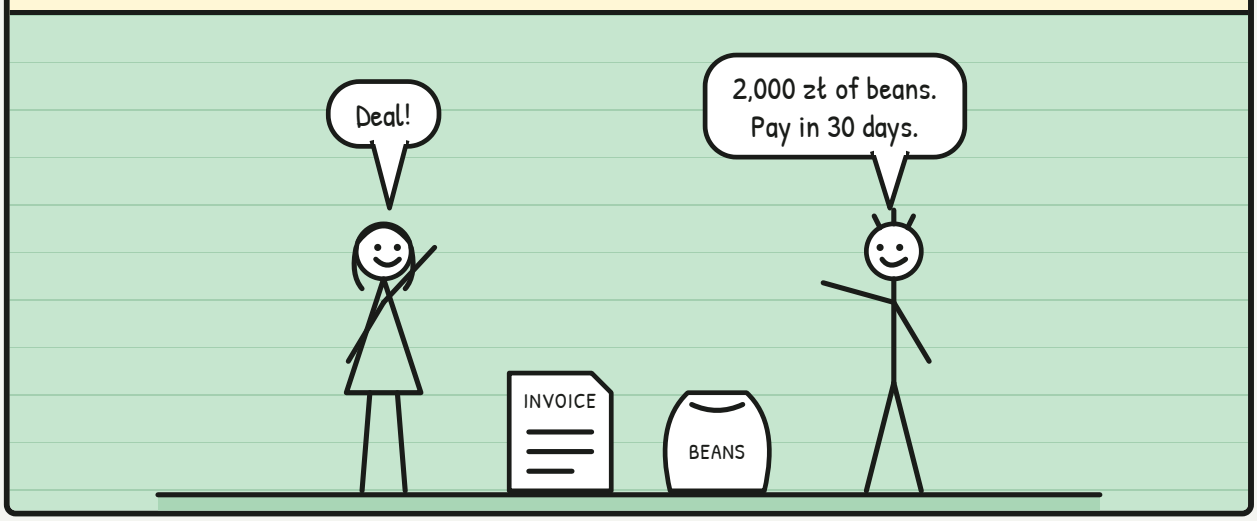
**CASH FLOW**

Operating activities — rent paid in advance: −1,500 zł

# Buying beans on credit

PRINCIPLE: DUAL ASPECT CONVENTION

Day 5. A roaster delivers 2,000 zł of coffee beans. Ania can pay within 30 days.




Guess before reading below: does cash change, profit, both or neither?

### WHAT THE ACCOUNTANT WRITES

| | |
|---|---|
| Dr Inventory | 2,000 |
| Cr Trade payables | 2,000 |

### WATCH OUT

Beans on the shelf are not an expense yet. They become one only when they are used to make coffee that is sold.

### WHERE IT LANDS

**In short: neither cash nor profit changes**

**BALANCE SHEET**

Inventory +2,000 · Trade payables +2,000

**INCOME STATEMENT**

no change

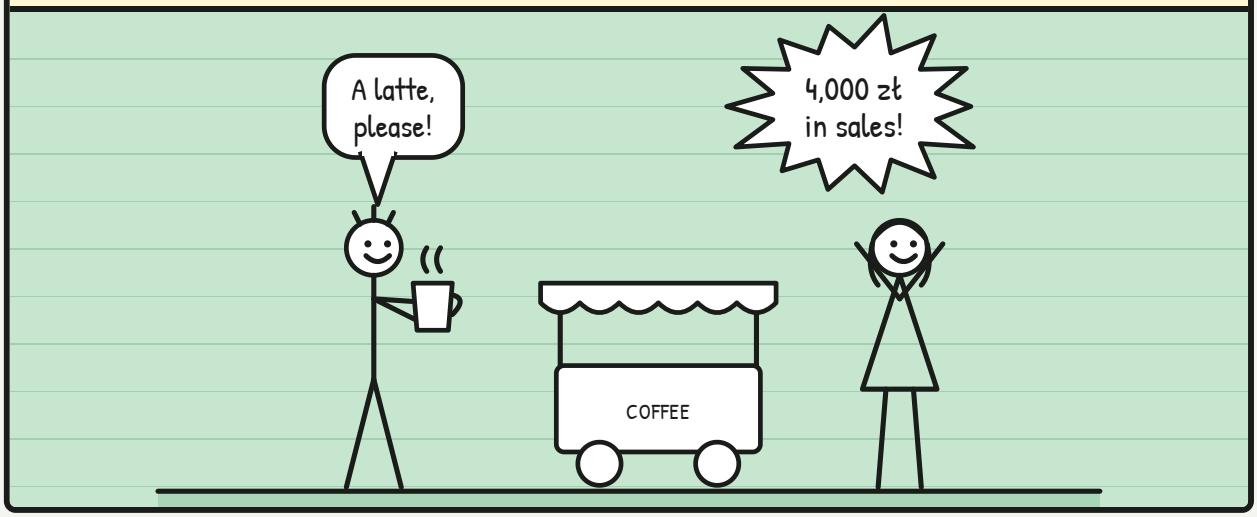
**CASH FLOW**

no cash moved

# Selling coffee for cash

PRINCIPLE: REVENUE RECOGNITION + MATCHING CONVENTION

Days 6–30. Customers queue every morning. In November Ania sells 4,000 zł of coffee to walk-up customers, paid on the spot. Those drinks used 1,200 zł worth of beans.




Guess before reading below: does cash change, profit, both or neither?

### WHAT THE ACCOUNTANT WRITES

| | |
|---|---|
| Dr Cash | 4,000 |
| Cr Revenue | 4,000 |
| Dr Cost of sales | 1,200 |
| Cr Inventory | 1,200 |

### WATCH OUT

Forgetting the beans' cost would show 4,000 zł profit. Revenue and the costs that produced it belong together.

### WHERE IT LANDS

**In short: both cash and profit change**

**BALANCE SHEET**

Cash +4,000 · Inventory –1,200 · Profit for the period +2,800

**INCOME STATEMENT**

Revenue +4,000 · Cost of sales –1,200 → profit +2,800

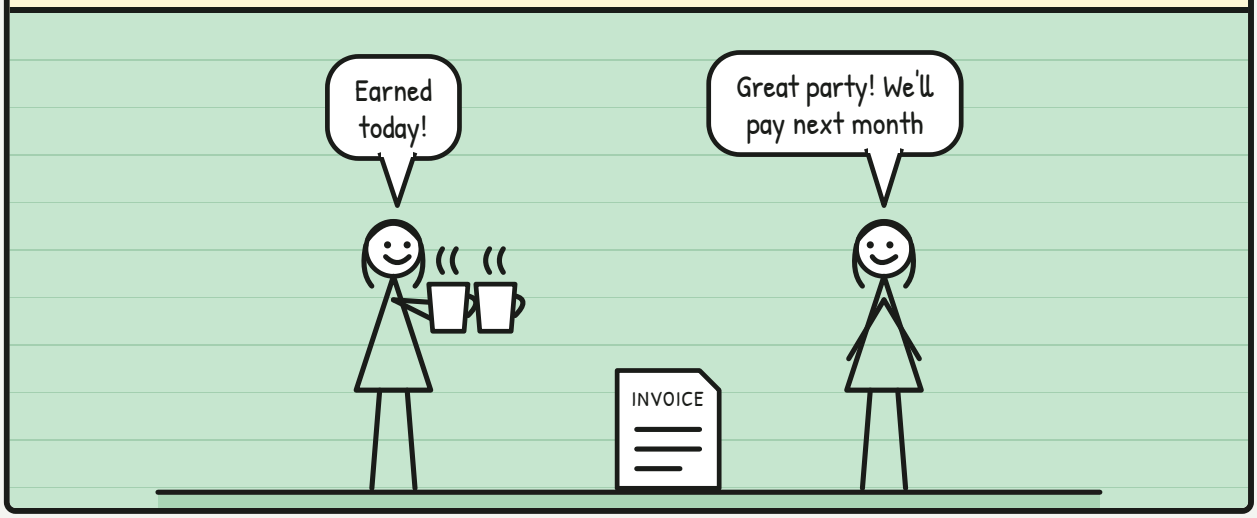
**CASH FLOW**

Operating activities — cash sales: +4,000 zł

# Catering an office party on credit

**PRINCIPLE: REVENUE RECOGNITION**

Day 20. A nearby office orders coffee for a party: 1,000 zł. Ania delivers today, and payment is due in December. The catering order used another 300 zł worth of beans.




Guess before reading below: does cash change, profit, both or neither?

### WHAT THE ACCOUNTANT WRITES

| | |
|---|---|
| Dr Trade receivables | 1,000 |
| Cr Revenue | 1,000 |
| Dr Cost of sales | 300 |
| Cr Inventory | 300 |

### WATCH OUT

Waiting for the cash before recording revenue is cash accounting. Under accrual accounting, earning is what counts.

### WHERE IT LANDS

**In short: profit changes, cash doesn't**

**BALANCE SHEET**

Trade receivables +1,000 · Inventory −300 · Profit for the period +700

**INCOME STATEMENT**

Revenue +1,000 · Cost of sales −300 → profit +700

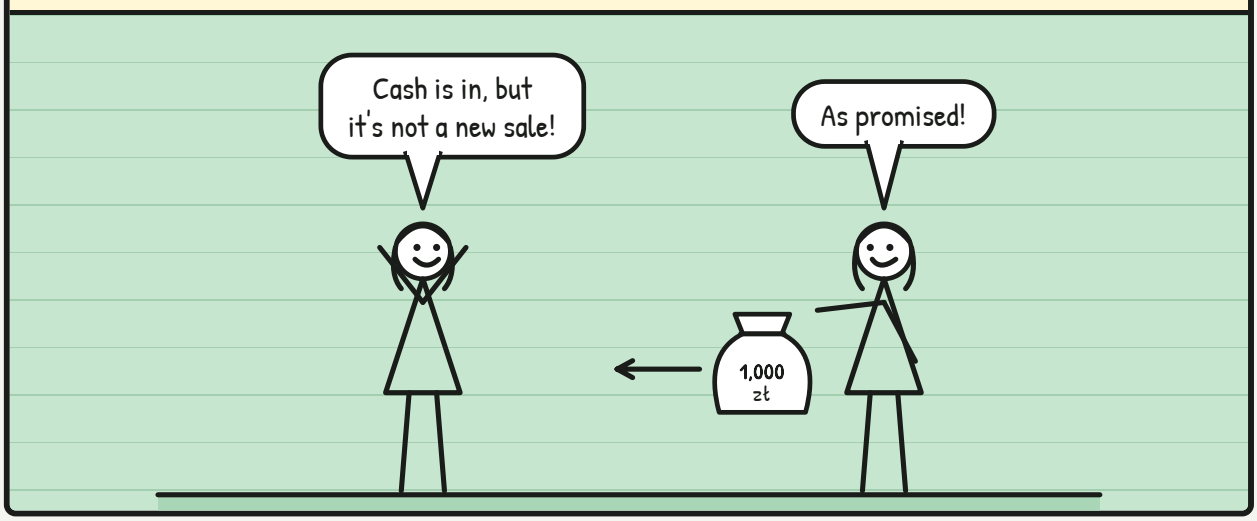
**CASH FLOW**

no cash moved

# The office pays its bill

**PRINCIPLE: REVENUE RECOGNITION**

Day 28. The office pays the 1,000 zł catering bill early, before it is due in December.




Guess before reading below: does cash change, profit, both or neither?

### WHAT THE ACCOUNTANT WRITES

| | |
|---|---|
| Dr Cash | 1,000 |
| Cr Trade receivables | 1,000 |

### WATCH OUT

Recording revenue again when the cash arrives would count the same party twice.

### WHERE IT LANDS

**In short: cash changes, profit doesn't**

**BALANCE SHEET**

Cash +1,000 · Trade receivables –1,000

**INCOME STATEMENT**

no change

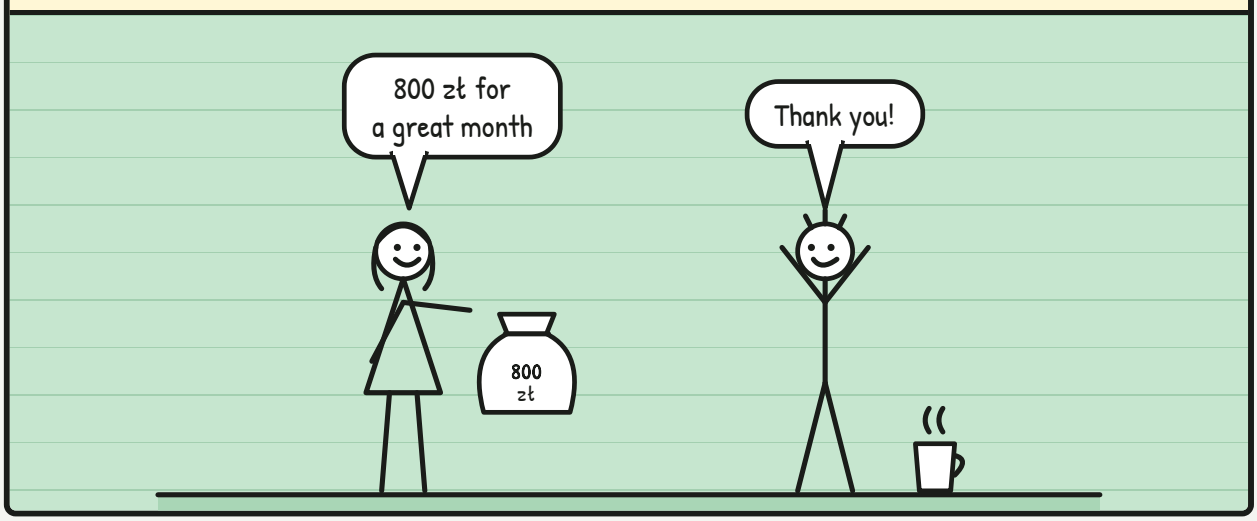
**CASH FLOW**

Operating activities — cash from a customer: +1,000 zł

# Paying the barista

PRINCIPLE: MATCHING CONVENTION

Day 30. Ania's part-time barista, Tomek, worked all month. She pays him 800 zł.




Guess before reading below: does cash change, profit, both or neither?

### WHAT THE ACCOUNTANT WRITES

| | |
|---|---|
| Dr Wages expense | 800 |
| Cr Cash | 800 |

### WATCH OUT

Paying Ania herself is different: money the owner takes out is a drawing: it reduces equity, not profit.

### WHERE IT LANDS

**In short: both cash and profit change**

**BALANCE SHEET**

Cash −800 · Profit for the period −800

**INCOME STATEMENT**

Wages expense −800 → profit −800

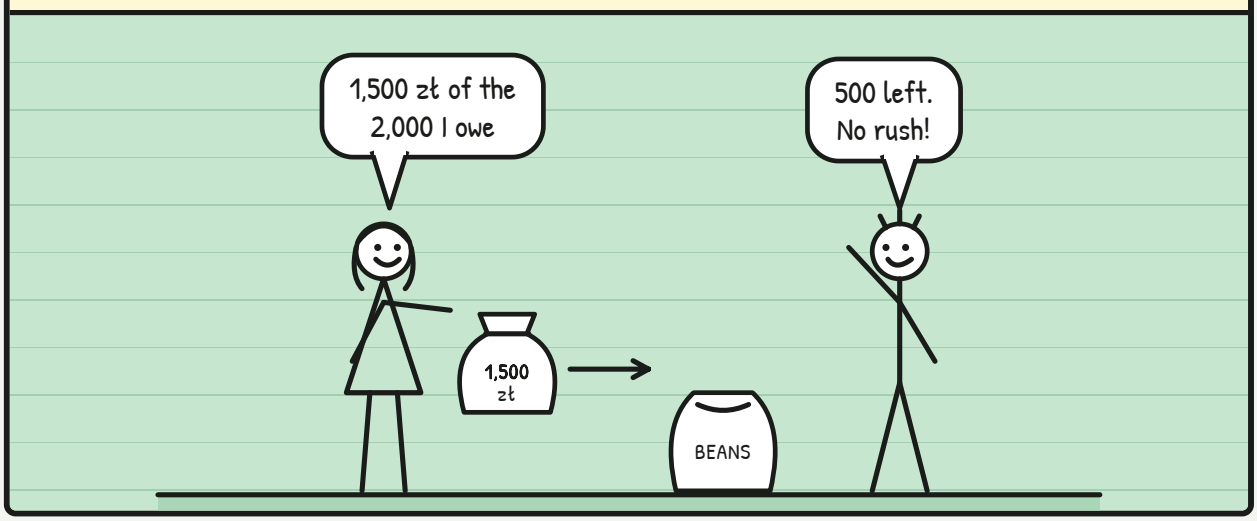
**CASH FLOW**

Operating activities — wages paid: −800 zł

# Paying part of the bean bill

PRINCIPLE: DUAL ASPECT CONVENTION

Day 30. Ania pays the roaster 1,500 zł of the 2,000 zł she owes. 500 zł is still to pay.




Guess before reading below: does cash change, profit, both or neither?

### WHAT THE ACCOUNTANT WRITES

| | |
|---|---|
| Dr Trade payables | 1,500 |
| Cr Cash | 1,500 |

### WATCH OUT

Paying a bill is not the same as having an expense. The expense happened when the beans were used.

### WHERE IT LANDS

**In short: cash changes, profit doesn't**

**BALANCE SHEET**

Cash −1,500 · Trade payables −1,500

**INCOME STATEMENT**

no change

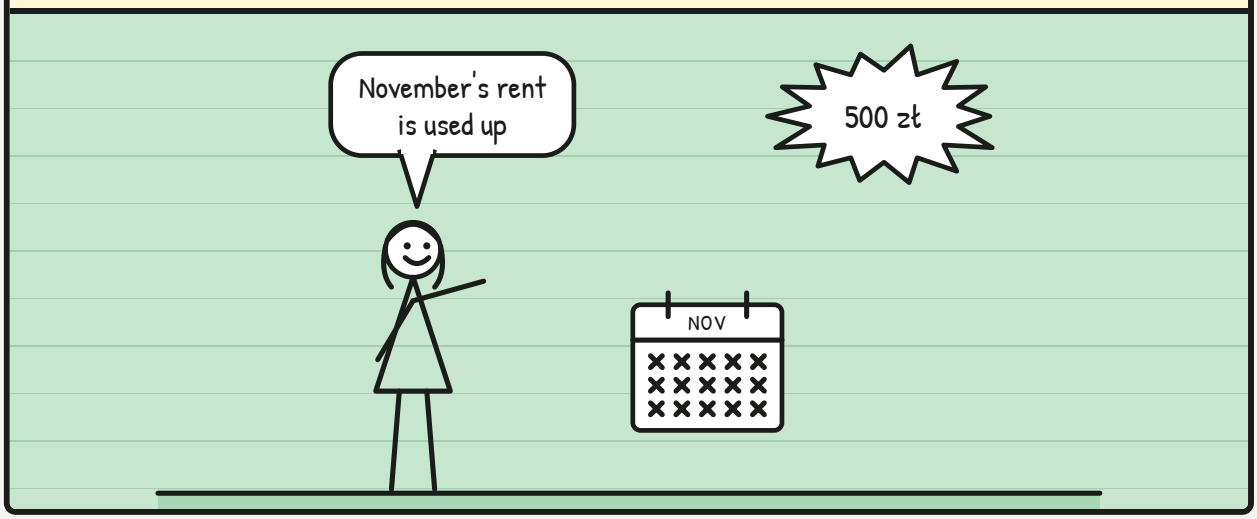
**CASH FLOW**

Operating activities — payment to the supplier: −1,500 zł

# Month end: using up a month of rent

PRINCIPLE: REPORTING PERIOD (ADJUSTING ENTRY)

**Remember the prepaid rent from strip 4?** 30 November. The month is over. Ania sits down to close the books.




Guess before reading below: does cash change, profit, both or neither?

### WHAT THE ACCOUNTANT WRITES

| | | |
|---|---|---|
| Dr | Rent expense | 500 |
| Cr | Prepaid rent | 500 |

### WATCH OUT

Adjusting entries never involve cash. They fix the timing so each month shows what really belongs to it.

### WHERE IT LANDS

**In short: profit changes, cash doesn't**

**BALANCE SHEET**

Prepaid rent −500 · Profit for the period −500

**INCOME STATEMENT**

Rent expense −500 → profit −500

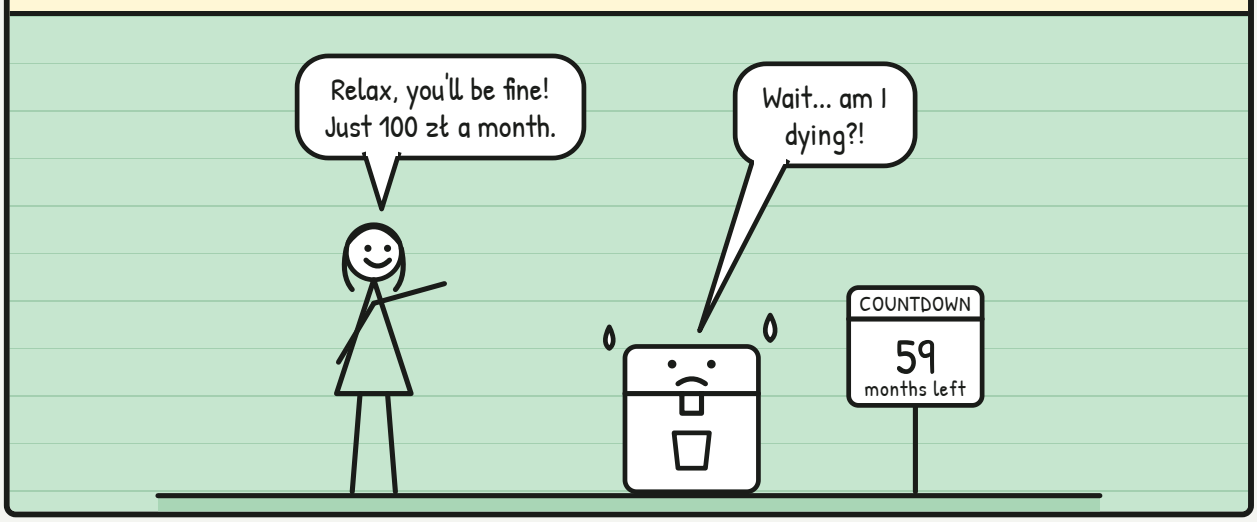
**CASH FLOW**

no cash moved

# The machine wears out a little

PRINCIPLE: MATCHING + GOING CONCERN CONVENTIONS

**Remember the espresso machine from strip 3?** 30 November. For this example, we assume the machine will be used for 5 years (60 months) and will have no residual value at the end.




Guess before reading below: does cash change, profit, both or neither?

### WHAT THE ACCOUNTANT WRITES

| | | |
|---|---|---|
| Dr | Depreciation expense | 100 |
| Cr | Accumulated depreciation | 100 |

### WATCH OUT

Depreciation uses no cash. That's why profit and cash are different numbers. And a book value of zero after 5 years doesn't mean the machine is worthless on the market, or that it stops making coffee.

### WHERE IT LANDS

**In short: profit changes, cash doesn't**

**BALANCE SHEET**

Accumulated depreciation −100 · Profit for the period −100

**INCOME STATEMENT**

Depreciation expense −100 → profit −100

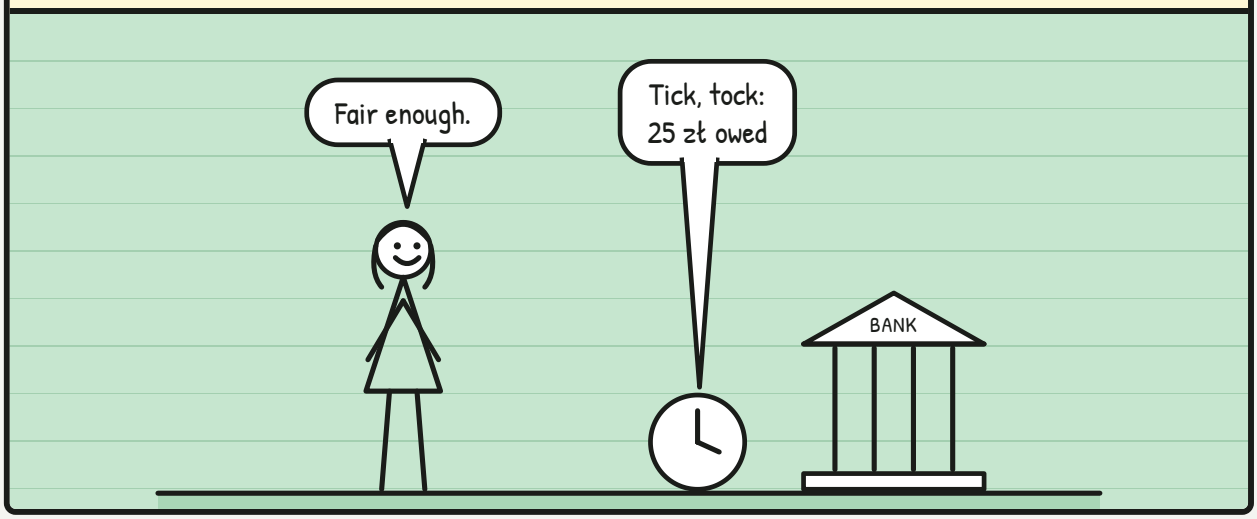
**CASH FLOW**

no cash moved

# Interest builds up on the loan

PRINCIPLE: ACCRUALS CONVENTION

**Remember the bank loan from strip 2?** 30 November. The bank only collects interest later, but every day of the loan costs a little.




Guess before reading below: does cash change, profit, both or neither?

### WHAT THE ACCOUNTANT WRITES

| | | |
|---|---|---|
| Dr | Interest expense | 25 |
| Cr | Accrued interest | 25 |

### WATCH OUT

Ignoring costs until the bill arrives would make this month look more profitable than it was.

### WHERE IT LANDS

**In short: profit changes, cash doesn't**

**BALANCE SHEET**

Accrued interest +25 · Profit for the period –25

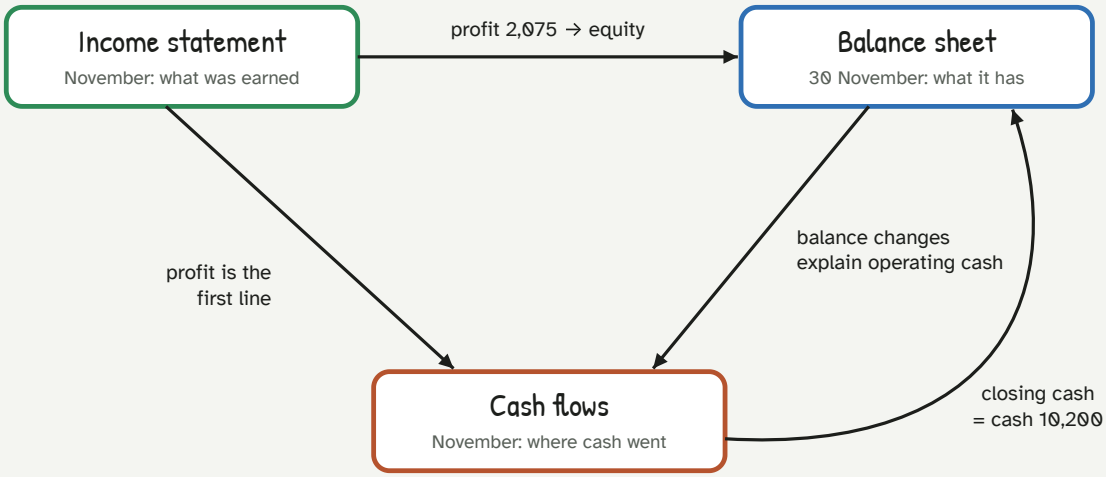
**INCOME STATEMENT**

Interest expense –25 → profit –25

**CASH FLOW**

no cash moved

# Why profit isn't cash




## Why profit isn't operating cash

November · indirect method

| | |
|---|---|
| Profit for November | 2,075 zł |
| + Depreciation | +100 zł |
| – Inventory still on hand | −500 zł |
| – Rent paid in advance | −1,000 zł |
| + Unpaid supplier and interest bills | +525 zł |
| **Operating cash flow** | **1,200 zł** |

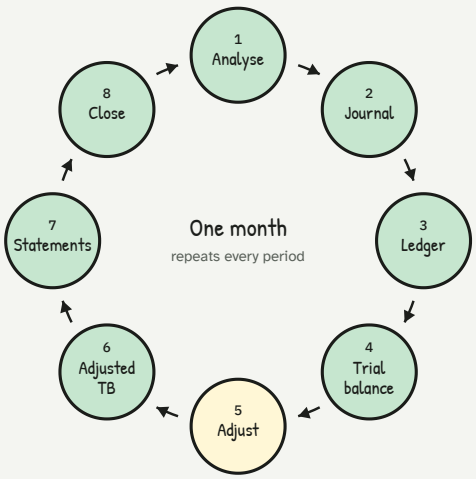
## From operating cash to cash in the bank

November

| | |
|---|---|
| Operating cash flow | 1,200 zł |
| Investing: machine purchase | −6,000 zł |
| Financing: owner + bank | +15,000 zł |
| **Closing cash** | **10,200 zł** |

Three different numbers, all correct: profit 2,075 zł, operating cash flow 1,200 zł, cash in the bank 10,200 zł. The cash flow statement can also be shown with the direct method; this is the indirect one.

# Accounting cycle




1. **Analyse the transaction**
   Beans arrive on credit (strip 5): inventory, an asset, goes up; trade payables, a liability, go up.
2. **Record it in the journal**
   Dr Inventory 2,000 / Cr Trade payables 2,000.
3. **Post to the ledger**
   After strip 10 the cash account shows 10,200 zł.
4. **Unadjusted trial balance**
   Debits 20,500 = credits 20,500.
5. **Adjusting entries**
   Rent used 500, depreciation 100, interest 25 (strips 11–13).
6. **Adjusted trial balance**
   Debits 20,625 = credits 20,625.
7. **Prepare the statements**
   Profit 2,075 zł; total assets 17,600 zł; closing cash 10,200 zł.
8. **Close the period**
   2,075 zł moves into Ania's equity. December starts again at step 1.

## Ania's trial balance: debits = credits at every stage

| | |
|---|---|
| Before adjusting (after strip 10) | 20,500 = 20,500 |
| Month-end adjustments: rent, depreciation, interest | 625 = 625 |
| **After adjusting** | **20,625 = 20,625** |

Month-end adjustments add the same amount to both sides, so the totals still match.

**Watch out:** a trial balance can balance and still contain mistakes. If an entry goes to the wrong account, debits and credits still match.

# Easy to mix up

**MISTAKES ANIA ALMOST MADE**

- "Taking a loan is income"
  **Actually:** It's a liability: the money must be paid back. Strip 2.
- "Buying a machine is an expense"
  **Actually:** It's an asset. Its cost is spread over the years as depreciation. Strips 3 and 12.
- "Buying coffee beans (inventory) is an expense"
  **Actually:** They stay inventory until used. Then they become cost of sales. Strips 5–7.
- "Cash received is revenue earned again"
  **Actually:** Revenue was earned on day 20. The cash on day 28 just settles the debt. Strip 8.
- "Profit means cash in the bank"
  **Actually:** Profit 2,075 zł, cash in the bank 10,200 zł, operating cash flow 1,200 zł. See "Why profit isn't cash".
- "Depreciation saves money for a new machine"
  **Actually:** It's only an entry. No cash moves and no savings pot appears. Strip 12.

**OTHER USEFUL THINGS TO KNOW** (not in Ania's story)

- "A customer's deposit is revenue"
  **Actually:** It's a liability until you deliver. Then it becomes revenue.
- "VAT on a sale is revenue"
  **Actually:** It's collected for the tax office. Revenue is the amount without VAT.
- "A loan repayment is an expense"
  **Actually:** Only the interest part is. Repaying the principal just reduces the debt.
- "The owner's own pay is a wage expense"
  **Actually:** For a sole trader it's a drawing: it reduces equity, not profit.
- "Credit on my bank statement = credit in my books"
  **Actually:** The bank writes from its side. Money arriving is a debit to Cash in your books.

# The statements

INCOME STATEMENT

## November

| | |
|---|---|
| Revenue | 5,000 |
| Cost of sales | (1,500) |
| **Gross profit** | **3,500** |
| Rent expense | (500) |
| Wages expense | (800) |
| Depreciation | (100) |
| Interest expense | (25) |
| **Profit for the period** | **2,075** |

STATEMENT OF CASH FLOWS

## November

| | |
|---|---|
| Operating activities | 1,200 |
| Investing activities | (6,000) |
| Financing activities | 15,000 |
| **Net change in cash** | **10,200** |

Ends at cash on the balance sheet: 10,200 zł.

Inventory check: beans bought 2,000 – used for walk-up sales 1,200 – used for catering 300 = **500 zł** still on the shelf.

BALANCE SHEET

## 30 November

| | |
|---|---|
| **ASSETS** | |
| **Cash** | **10,200** |
| Trade receivables | 0 |
| Inventory | 500 |
| Prepaid rent | 1,000 |
| Equipment (PPE) | 6,000 |
| Accumulated depreciation | (100) |
| **Total assets** | **17,600** |
| **LIABILITIES** | |
| Trade payables | 500 |
| Accrued interest | 25 |
| Bank loan | 5,000 |
| **Total liabilities** | **5,525** |
| **EQUITY** | |
| Owner's capital | 10,000 |
| Profit for the period | 2,075 |
| **Total equity** | **12,075** |
| **Liabilities + equity** | **17,600** |

✓ **Balanced: 17,600 = 17,600**




# About this guide

This is my attempt to make the accounting basics stick by turning them into a story. The story, text and drawings are original; the accounting behind them is standard theory, pieced together from textbooks, courses and articles. Made with a little help from my AI pal, Claude.

Simplified educational example. VAT and income tax are excluded. Actual accounting requirements depend on the business structure and reporting framework.

## Next step: try the interactive version

Take the quiz: guess what changes before you look · watch the statements fill up step by step · save the guide for later.

**barmaleika-ya.github.io/ania_coffee_cart**